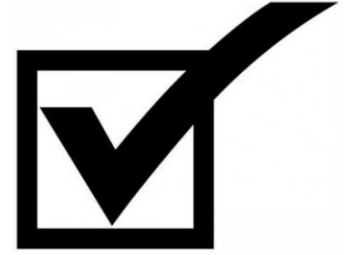




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



ADVANCED ACCOUNTING (100)

NATIONAL 2023

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Account Identification (10 @ 3 points each) _____ (30 points)

Short Answer (22 @ 2 points each) _____ (44 points)

Job 1 – Depreciation _____ (42 points)

Job 2 – Stock Entries _____ (48 points)

TOTAL POINTS _____ ***(214 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice – 50 points total – 2 points each

1.	A	16.	D
2.	C	17.	B
3.	A	18.	A
4.	A	19.	C
5.	B	20.	D
6.	D	21.	C
7.	D	22.	D
8.	B	23.	C
9.	D	24.	C
10.	B	25.	B
11.	C		
12.	C		
13.	A		
14.	C		
15.	D		

Account Identification – 30 points total – 1 point each

Account Name	Classification (A, L, SE, R, CM, E)	Financial Statement (IS, SOSE, BS, None)	Normal Balance (Dr, Cr, None)
Prepaid Rent	A	BS	Dr
Building	A	BS	Dr
Dividends Payable = Common Stock	L	BS	Cr
Dividends – Common Stock	SE	SOSE or SOSE & BS	Dr
Capital Stock	SE	SOSE & BS	Cr
Salary Expense	E	IS	Dr
Unearned Fees	L	BS	Cr
Treasury Stock	SE	SOSE or SOSE & BS	Dr
Bonds Payable	L	BS	Cr
Purchases Discount	CM	IS	Cr

Short Answer Problems – 44 Total points – 2 points each

1. a. 155,367
 b. 30,037
 c. 1.20
 d. 10,000
 e. 165,755
2. a. 108,000
 b. 225,000
 c. 63,000
 d. 54,000
3. a. 531.25
 b. 718.75
 c. 51,250
 d. March 10, 2023

4.

	Rent Expense	Utilities Expense
Shoes	2,400	2,800
Clothing	4,200	4,900
Equipment	5,400	6,300

5.

Debit Jaden Rink, Capital 26,070 Credit Cash 48,370

Debit Roberto Diaz, Capital 22,300

Job 1 – Depreciation - 42 points – Each answer worth 2 points

	Straight-Line	DDB	Production Units
Depreciation for 2022	550	1,175	704
Book Value on Dec 31, 2022	4,150	3,525	3,996
Depreciation for 2023	1,100	1,762.50	1,793
Book Value on Dec 31, 2023	3,050	1,762.50	2,203
Depreciation for 2024	275	220.31	330
Book Value on March 31 st , 2024	2,775	1,542.19	1,873
Recorded cost for new model	5,575	4,342.19	4,673

Job 3 – Stock Entries – 48 Total Points – 2 points per line; 1 for each correct account and 1 for each correct amount.

Date	Account	Debit	Credit
Jan 5	Cash	1,950	
	Capital Stock - Common		1,500
	Paid-in Capital in Excess - Common		450
Jan 10	Cash	1,500	
	Capital Stock - Preferred		1,250
	Paid in Capital in Excess - Preferred		250
Feb 18	Equipment	2,500	
	Capital Stock - Common		2,250
	Paid in Capital in Excess - Common		250
Mar 24	Treasury Stock	5,250	
	Cash		5,250
May 7	Cash	3,200	
	Capital Stock - Preferred		2,500
	Paid in Capital in Excess - Preferred		700

June 15	Dividends – Preferred Stock	10,000	
	Dividends – Common Stock	15,000	
	Dividends Payable		25,000
June 24	Cash	2,250	
	Capital Stock - Common		2,250
July 15	Dividends Payable	25,000	
	Cash		25,000
Oct 9	Cash	2,000	
	Treasury Stock		1,750
	Paid-in Capital from Treasury Stock		250